IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an Appeal in terms of Section 144 of the Inland Revenue Act No. 24 of 2017 (as amended) against the Order/ Determination of the Tax Appeals Commission dated 30/07/2024 in Case No. TAC/IT/076/2019.

CA Case No: TAX/211/2024
Tax Appeals Commission No.
TAC/IT/076/2019

Ceylinco Holdings PLC,
(Formerly Ceylinco Insurance PLC),
No. 69, Janadhipathi Mawatha,
Colombo 01.

Appellant

Vs.

The Commissioner General of Inland Revenue,
Department of Inland Revenue,
Inland Revenue Building
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before:	**M.C.B.S. Morais J.**
	&
	Annalingam Premashanker J.
Counsel:	Dr. Romesh de Silva, PC with Sugath Caldera and Niran Anketell instructed by H. Chandrakumar de Silva for the Appellant.
	Rajika Aluwihare, SC for the Respondent.
Written Submissions:	By the Appellant – on 30.06.2026, 22.01.2026
	By the Respondent – on 22.07.2026, 15.09.2025
Argued on:	By way of Written Submissions
Decided On:	**29.10.2026**

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 30th of July 2024, in the case of TAC/IT/076/2019.

This appeal is filed under Section 144 of the Inland Revenue Act No. 24 of 2017 as amended (IRA 2017) read together with section 11A(1) of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2014/2015 (from January 2014 to December 2014) and the taxable amount in dispute is Rs. 1,413,537,002.00 with a penalty of Rs. 706,768,501.00.

According to the Journal entry dated 22nd of May 2026, both parties have agreed that the argument shall be concluded by way of written submissions.

FACTUAL BACKGROUND

The Ceylinco Insurance (Ceylinco Holdings) PLC (hereinafter will be referred to as the Appellant) is a limited liability company incorporated and domiciled in Sri Lanka and listed in the Colombo Stock Exchange. The principal activity of the Appellant is carrying on Insurance business in Sri Lanka.

The Appellant has submitted the return for the taxable period 2014/2015, claiming certain deductions, the Assistant Commissioner of the Department of Inland Revenue has not accepted the said return (sometimes will be referred to as the Assessor) and has rejected the said return for the reasons set out in the intimation letter dated 29th of May 2017. Accordingly, the Assessor has issued the Notice of Assessment dated 30th of May 2017 based on the reasons set out in the intimation letter.

The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue Department (hereinafter will be referred to as the Respondent). The Respondent in its determination dated 10th of June 2019 determined the appeal by upholding the decision of the Assessor. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission

(TAC) raising a preliminary objection that the assessment issued by the Assessor is time barred and invalid in law. The TAC after considering the submissions made by both parties made the determination dated 30th of July 2024 in favor of the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

"

I. *Is not the Tax Appeals Commission's determination of 30/07/2024 contrary to law?*

II. *Is not the Tax Appeals Commission's determination of 30/07/2024 against evidence?*

III. *Did not the Tax Appeals Commission err in law in determining that the assessment and/or notice of assessment was not time barred?*

IV. *Did not the Tax Appeals Commission err in law in determining that the CGIR had complied with Section 7(3) of the Tax Appeals Commission Act?*

V. *Did not the Tax Appeals Commission err in law in confirming the determination by the Commissioner General of Inland Revenue and dismissing the appeal?*

VI. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that all management expenses attributable to the business of life insurance may be deducted from the income of the Life Insurance Fund for the purpose of computing profit?*

VII. *Did not the Tax Appeals Commission err in law in failing to hold that all commissions paid to insurance agents are permissible deductions in terms of the now repealed Section 92(1) of Act 10 of 2006?*

VIII. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that in terms of the said Section 92(1) all management expenses attributable to the business of life insurance are deductible?*

IX. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that all commissions paid to insurance agents are a management expense?*

X. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that all commissions paid to insurance agents are attributable to the business of life insurance?*

XI. *Did not the Tax Appeals Commission err in law by not answering question 5 unambiguously and only permitting deduction of a smaller sum than total commissions paid?*

XII. *Did not the Tax Appeals Commission misapply judgments of the superior courts, more specifically National Mutual Life Association of Australia Ltd vs Commissioners of Income Tax?*

XIII. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the Assessor and/or Commissioner General were not entitled in law to draw a distinction between all management expenses attributable to the business of life insurance and management expenses directly applicable to the management of the fund?*

XIV. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the intention of the legislature to permit the deduction of all management expenses attributable to the business of life insurance is made clearer when considering Clause 67 of the Inland Revenue Bill of 2017 and the eventual Section 67 of the Inland Revenue Act No 24 of 2017?*

XV. *Did not the Tax Appeals Commission fail to consider and/or appreciate that the only and/or primary commission costs payable in the business of life insurance are commissions paid to insurance agents?*

XVI. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the purported formula adopted by the Assessor is arbitrary, ultra virus, illegal and impermissible under law?*

XVII. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the Appellant had a legitimate expectation to be assessed in terms of the assessments of previous years (prior to 2011) where commission paid to insurance agents were permitted to be deducted for the purpose of calculating profits?*

XVIII. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the Assessor and/or Commissioner General had no valid grounds/reasons for departing from the established basis for calculating income for previous years (prior to 2011) in which inter alia all commission expenses paid to insurance agents were deducted from the income of the life insurance fund to calculate profits?*

XIX. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciate that the assessment by the Assistant Commissioner of investment income is excessive?*

XX. *Did not the Tax Appeals Commission err in law by failing to consider and/or appreciated that profits from the sale of listed shares and interest or discount accruing to the Appellant from investment are exempt?*

XXI. *Did not the Tax Appeals Commission err in law by misapplying Section 92(5) and/or 9(0) and/or 13(t)?*

XXII. In the overall circumstances in this matter and the issues involved in respect of the question to be decided, did not the Tax Appeals Commission err in law by rejecting/dismissing the appeal of the appellant?

XXIII. In the circumstances, did not the Tax Appeals Commission err in law by rejecting/dismissing the appeal of the appellant?

XXIV. If anyone and/or more of the above questions are answered in favor of the appellant, is not the appellant entitled to relief?"

ANALYSIS

The Appellant in the present matter has raised 24 Questions of Law before this court. However, the preliminary questions in the present matter is in relation to the validity of the assessment issued by the Assessor, since these questions goes to the very root of the case, I shall initially address this issue. Therefore, I shall initially address Question of Law No. III, and if the said question is answered in favour of the Appellant, little purpose is served in considering the rest of the questions.

Question of Law No.III

It is the contention of the Appellant, that the taxable return for the period of 2014/2015 was made on 29th of November 2015, and it was rejected by the Assessor for the reasons set forth in the intimation letter dated 29th of May 2017. Thereafter the notice of assessment dated 30th of May 2017 was served on the Appellant, which was received on 15th of June 2017. On this basis, the Appellant argues that the assessment issued is time barred and therefore not valid.

However, it is the position of the Respondent that the time bar under section 163(5) of IRA 2006 is only subject to the act of 'making an assessment' as opposed to serving of 'notice of assessment'. Accordingly it is the Respondent's position that the intimation letter containing

the reasons for the rejection of the tax return has been served on the Appellant within the required time frame, and therefore the assessment not time barred. In supporting their position the learned State counsel for the Respondent Ms. Aluwihare relies on the cases of *Honig and Others V. Starsfield* and the case of *Stafford Motor Company (Pvt) Ltd V. Commissioner General of Inland Revenue*, [2019] 3 Sri LR 169.

When the Appellant had appealed to the TAC in the previous instance, the TAC in its determination dated held that the assessment is not time barred for the reasons set out below;

> *"After analyzing the judgments of Stafford Motors Company and English case of Honing and Others (Administers of Emanuel Honing) Vs Sarsfield (Inspector of taxes), Dr. Ruwan Franando J. is of the view that time bar is on making the assessment and not on sending the Notice of Assessment. Hence, in the case of Ilukubura vs Industrial Automation (Pvt) Ltd, he further stated that "in my view the results of these provisions in that the Court is not concerned here with the question of the date. When Notice of Assessment was served. The Court is concerned with totally different question, namely when were the assessment made? The giving of notice has nothing to do with the making of valid and effective assessment".*
>
> *Hence in view of the above analysis, hold that the assessment made in the instant case is not made out of time and therefore not a nullity.*
>
> *Further Dr. Ruwan Fernando J. in the latest case of CF Insurance Brokers (Private) VS CGIR (CA/TAX/0040/2019) commented that," when addressing the question of time bar, it could be seen that time bar provided in Section 163(5) applies to the making of assessment". The word made in Section 163(5) (a) (1) and (11) b clearly manifest this position.*
>
> *It is important to note that No time bar for issuing of notice of Assessment, is set out either in Section 164 or 163(1). If the intention of the legislature was to set up a time bar for the issuing of notice of Assessment, the legislature had no difficulty in enacting that no notice of Assessment should be given" after the expiry of the prescribed time limit, instead of enacting that no assessment shall be made after the*

expiry of the prescribed time limit. Finally, an appeal was dismissed holding the view that case is not made out of time and therefore not nullity. "

The TAC in arriving at its decision has relied on the positions in certain judgments of this court. However, it is significant to understand the current legal position of these aspects.

The section 163(5) of IRA 2006, which deals with the time limitation for the assessment issued by the Assessor, reads in the following manner;

"163.

(3) Where a person has furnished a return of income, the Assessor or Assistant Commissioner may in making an assessment on such person under subsection (1) or under subsection (2), either–

(a) accept the return made by such person; or

(b) if he does not accept the return made by that person, estimate the amount of the assessable income of such person and assess him accordingly:

Provided that where an Assessor or Assistant Commissioner does not accept a return made by any person for any year of assessment and makes an assessment or additional assessment on such person for that year of assessment, he shall communicate to such person in writing his reasons for not accepting the return.

...

(5) Subject to the provisions of section 72, no assessment of the income tax payable under this Act by any person or partnership –

(a) who or which has made a return of his or its income on or before the thirtieth day of November of the year of assessment immediately succeeding that year of assessment,

(i) where such year of assessment is any year of assessment commencing prior to April 1, 2013, shall be made after the expiry of a period of two years from the thirtieth day of November of the immediately succeeding year of assessment; and

(ii) where such year of assessment is any year of assessment commencing on or after April 1, 2013, shall be made after the expiry of a period of <u>eighteen months from the thirtieth day of November of the immediately succeeding year of assessment:</u>

(b) who has failed to make a return on or before such date as referred to in paragraph (a), shall be made after the expiry of a period of four years from the thirtieth day of November of the immediately succeeding year of assessment:

...

164.
An Assessor or Assistant Commissioner shall give notice of assessment to each person and each partnership who or which has been assessed, stating the amount of income assessed and the amount of tax charged:
..." [emphasis added]

According to section 163(5) of the IRA 2006, for an assessment commencing on or after 1st of April 2013, it should be made within the expiry of eighteen months from the thirtieth day of November of the immediately succeeding year of assessment. Therefore, since the assessment in question is related to the taxable period 2014/2015, the assessor is required to issue the assessment within eighteen months from the 30th of November 2015.

For ease of reference, I shall reproduce the required timeline in the below table;

Date of return filed by the Appellant	24th of November 2015	
Intimation letter	Dated 29th of May 2017	Received by Appellant on 2nd of June 2017
Notice of Assessment	Dated 30th of May 2017	Received by Appellant on 15th of June 2017
Assessment time barred on	30th of May 2017	

In considering the time limits mentioned above, the Assessor is required by law to furnish the intimation letter and the Notice of Assessment on or before 30th of May 2017. However, when considering the materials presented before this court, the stamp in the intimation letter and the Notice of assessment indicates that the Respondent has received the said documents only on 2nd of June 2017 and 15th of June 2017 respectively, which are well after the eighteen months time period required by law.

Furthermore, it is pertinent to note that, in *Fonterra Brands Lanka (Private) Limited V. Commissioner General of the Department of Inland Revenue and Others* (2025), SC Appeal No. 187/2014, His Lordship Thurairaja J., having considered the previous judicial authorities on the matter, declined to follow the English approach adopted in *Honig V. Stransfield*[1] and held that the term 'assessment' in Chapter XXII of the Inland Revenue Act No. 10 of 2006 refers not merely to a particular aspect of the assessment of a taxpayer's liability, but to the entire process of assessment.

In view of the aforesaid decision, this Court is not inclined to follow the position adopted in *Stafford Motors*[2], as the reasoning therein is founded on the English approach in *Honig V. Stransfield*.

Although the Respondent has also relied on *Illukumbura*[3], the sufficiency of the letter of intimation in that case was considered in the context of whether the particulars contained therein provided the taxpayer with a reasonable understanding of the tax liability in question. The facts and circumstances of the present case, are distinguishable. Moreover, in *Fonterra Brands*, His Lordship Thurairaja J., having considered the position taken in *Illukumbura*, concluded that the making of an assessment cannot be separated from its communication to the taxpayer. Unless and until the taxpayer is duly notified of the assessment, the assessment process cannot be regarded as complete.

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[1] *Honig and Others (administrators of Emmanuel Honig) v Sarsfield (H M Inspector of Taxes)* [1985] (Tax Cases Vol. 30 page 337), (1986) BTC 205.
[2] *Stafford Motor Company (Pvt) Ltd Vs. Commissioner General Of Inland Revenue* [2019] V3 SRI LR 169.
[3] *Illukkumbura Industrial Automation(Pvt) Ltd v. Commissioner General of Inland Revenue,* CA Tax 5/2016, CA minutes of 29th September 2022

This Court, having regard to the decision of the Supreme Court in *Fonterra Brands*, has adopted a similar approach in several previously decided cases, holding that the assessment process is completed only when the assessment is communicated to the taxpayer by way of a notice duly served within the time limit prescribed by law.

In the view of this Court, the term "assessment" as used in Section 163(5) cannot be confined solely to the act of making an assessment by the Assessor. Alternatively, it encompasses the entire process; including the determination of the taxpayer's liability, the making of the assessment, demanding the payment and the communication of that assessment to the taxpayer. Accordingly, for the purposes of Section 163(5), it is not sufficient for the Assessor merely to make or prepare an assessment within the prescribed period; the assessment must also be duly communicated to the taxpayer within that period. If we are to give any contrary interpretation, it will only enable the Assessor to keep the printed assessment containing the quantum of the tax liability in their lockers indefinitely and it would defeat the purpose of the statutory time limit and undermine the effective operation of Section 163(5) of the IRA 2006.[4]

Therefore, I am of the view that the TAC has erred in holding that the assessment issued by the assessor is valid in law.

Hence, I answer the Question of Law No. III to the effect that the determination of the TAC is erroneous.

In light of the foregoing conclusion reached in the Question of Law No. III, I am of the view that the remaining Questions of law raised by the Appellant will not arise and need not be considered as the assessment dated of 30th of May 2017 is set aside and the self assessment would prevail.

[4] E. Gooneratne, '*Income Tax in Sri Lanka'* (p. 412).

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the Questions of law formulated by the Appellant should be answered as set out below.

Question of law No. III – The TAC has erred in law.

This appeal is allowed.

Accordingly, the determination of the TAC dated 30th of July 2024, and the determination of the Respondent dated 10th of June 2019 are hereby set aside and the assessment dated 30th of May 2017 issued by the Assistant Commissioner of the Department of Inland Revenue is null and void.

The Registrar is directed to issue a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal